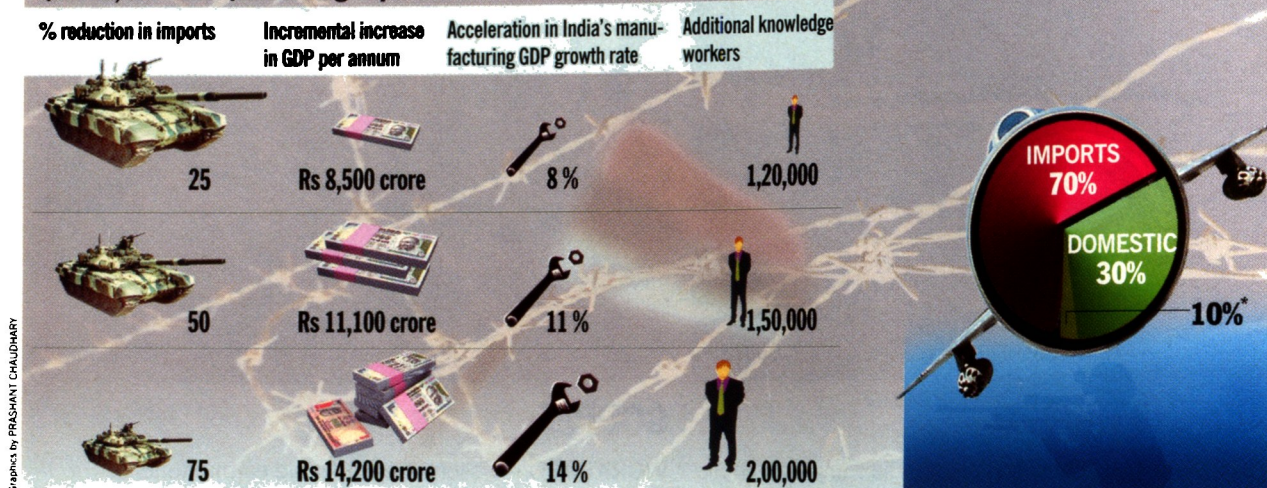


PRIVATE HOPES, PUBLIC GAINS

Between 2004 and 2006, India imported defence equipment worth \$10.5 bn (Rs 42,000 crore). Reducing imports will increase growth rate and create jobs.

India will spend Rs 41,922 crore on arms this year. The break-up:



*Source: Industry estimates

*Share of the private sector in domestic production

tanks, warships and fighter aircraft from the US, Israel and Russia. This means that its frontline systems are still vulnerable to sanctions by foreign suppliers. "Anybody objecting to increasing FDI is supporting dependence on foreign sources through imports," says Hai. According to industry estimates, a 25 per cent annual reduction in the arms import bill will lead to an incremental increase of Rs 8,500 crore within the country—accelerating manufacturing GDP by 8 per cent annually and creating an additional demand for 1.2 lakh knowledge workers.

The share of the private sector in defence production adds up to just 10 per cent of the indigenous component. "The role of the private domestic industry," an Ernst and Young study for ASSOCHAM grimly notes, "is confined merely to providing raw materials, semi-finished products and parts and components to ordnance factories and DPSUs." South Korea is frequently cited as the best example of a developing nation that has achieved self-sufficiency in building an arms industry. Spurred by threats from North Korea in the late 1960s, it began developing its industrial arms base in both the public and private sectors, aided by US investments and transfer of technology. Today it produces most of the conventional weapons. India hopes to replicate the Korean model. "We must build capacity within the country. We must have reliable product support, carry out upgrades and field new platforms,"

...AND MORE

- **KIRLOSKAR:** The diesel engine maker will make warship engines
- **WIPRO:** Will bring in its capabilities in network-centric warfare
- **BHARAT FORGE:** Its forging abilities will be used in land systems
- **HCL:** Will secure hi-tech defence communication networks
- **SATYAM COMPUTERS:** Will expand its presence in global defence
- **INFOSYS:** Will bring in product design and IT solutions

says Defence Secretary Shekhar Dutt.

The Defence Procurement Procedure 2006 has added a 'make' category—to the existing 'buy' category, which is meant for imports—under which private firms can develop weapon systems for sale to the Government. India will still have to import big ticket items like multi-role fighters, howitzers, submarines and maritime patrol aircraft off the shelf for the next few years, but some of these will be sub-contracted to the private sector. Meanwhile, private industry is setting up joint ventures with both domestic and foreign vendors to absorb critical technology. It took South Korea at least two decades to become self-reliant in defence. India can do it in half the time span.

The Government is also banking on

the defence offsets—in which an arms vendor has to source 30 per cent of the value of all defence import deals above Rs 300 crore from the domestic industry. The first offset contract was signed in March—a \$15-million (Rs 61 crore) purchase of Elta medium-powered ground radars. The Israeli firm will buy components worth \$5 million (Rs 20 crore) from I&T and Astra Microwave of Hyderabad. The private sector, however, feels the present offset policy is inclined towards counter-trade, which prevents meaningful private sector participation. "There is an urgent need to encourage direct offsets involving transfer of technology, thus creating demand for manufactured goods," says a private sector CEO.

It is a myth that the private sector will merely compete with the public sector. Tata Power, for instance, is jointly pitching with OFB for a \$400 million (Rs 1,600 crore) project to upgrade India's arsenal of 400 FH-77B Bofors howitzers purchased in 1987. "There will be cooperation and competition—industrial logic demands it," says Rahul Chaudhry, CEO, Strategic Electronics Division, Tata Power. "At the end of the day, India won't be at the mercy of foreign nations." RURS are no magic bullets, but they are the first steps in an evolution process which could see the private sector produce complex defence systems like fighter aircraft, tanks and submarines. The jewels would finally have delivered then.

with Satarupa Bhattacharjya